European Viewpoint

French bonds: what next?

5 factors have accelerated OAT-Bund widening this week

The 10y OAT-Bund spread widened by over 30bp this week. At 140bp, it is now c.10bp off sovereign crisis levels. A confluence of factors has driven this move. We name five: (1) stops on long positions (esp in 3-5y and in futures), (2) negative convexity flows (esp around futures CTD change), (3) potential portfolio shifts around month-end, (4) rising supply concerns (2027 funding plan), and (5) incremental noise on the political front.

10y OAT-Bunds in 100-150bp, watch incremental news

Fair value for the 10y OAT-Bund spread stands at 100-110bp, based on the long-term joint dynamics of EGB spreads and the short-term directionality to the EUR front-end. That said, for buyers to step in and fade this cheapness, we believe the spread needs to stabilise first, and the context needs to be favourable. Exhibit 5 presents a list of potential incremental news on budget, macro, politics and other factors.

5 backstops that would prevent OAT-Bunds > 150bp

The five backstops that we had flagged in French bonds under the radar are still valid; (1) a strong reduction in WAM of supply; (2) more cautious political parties; (3) domestic buying; (4) shifts from periphery into OATs on risk-off contagion; and (5) ECB action, via communication before any forceful intervention. If OAT-Bunds get quickly over 150bp, several of these backstops could be triggered. Contagion would call for ECB action.

ECB backstop: going through the options

The ECB has backstops. For too tight financial conditions, rates are the tool (starting with verbal interventions and guidance). The balance sheet comes into play for disorderly moves in speed and/or magnitude on spreads/long-term rates. Verbal intervention has started, but the ECB's pain threshold tends to be higher than that of markets.

Economics: we worry a lot, especially about sentiment

We cut our French growth forecasts again, to 0.3% and 0.6% for this year and next (-10bp and -20bp, resp). We worry about the negative feedback loop between financing costs, growth, budget deficits. The corporate sector may be the most fragile part here.

FX: OATs don't matter until they do

Large OAT-Bund moves start to matter for FX. We estimate that every further 10bp spread widening would be associated with 0.4% depreciation in EUR/USD.

Technicals: Strategy: Higher and wider they go

We show a parabolic rise in OAT 10Y yield that, with or without consolidation, could continue to rise to about 5.54%. As the OAT-Bund spread widens to its 2012 peak, higher highs and higher lows in BTP-Bund & SPGB-Bund make them appear vulnerable to catching up, such as to their trend lines at about 185bp and 100bp respectively.

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OAT: French Govt bonds

CTD: cheapest to deliver

PCA: principal component analysis

WAM: weighted average maturity

Rates: 10y OAT-Bund in 100-150bp range

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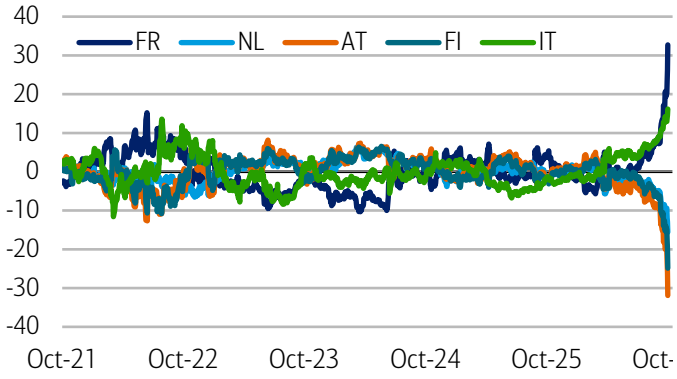
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Bund spread widens by 30bp in just four days

While the rates selloff has been global, France has continued to underperform in the European government bond space: the 10y OAT-Bund spread surged beyond 140bp and its residual cheapness relative to all other EGB spreads rose to 33bp (Exhibit 1).

Exhibit 1: 10y OAT-Bund spread appears c.33bp too wide after accounting for the joint dynamics of EGB spreads over the past 5 years
Residuals of country spreads to Bunds based on the first two principal components of 10y EGB spreads over the past five years



Source: BofA Global Research

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Exhibit 2: 10y OAT-Bund spread appears 42bp cheap based on its 3m directionality to 1y1y OIS
Residual of 10y OAT-Bund based on its relationship vs 1y1y OIS in past 3m



Source: BofA Global Research

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Two week ago, we showed that the OAT spreads were behaving very directionally (widening as Bund yields and/or front-end rates rose), consistent with the fact that higher base rates will drive interest expenditures higher, complicating the budgetary exercise – see note: French bonds under the radar, 17-Sep. At the time, using that directionality, we argued it would be hard for the spread to cross 115bp as this would be the level consistent with an implied terminal ECB rate of 4%.

However, this past week has seen a cheapening of French bonds beyond what its recent directionality to rates implied. In fact, over the last two days, the OAT-Bund spread widening occurred while front-end rates and Bund yields declined, implying a cheapening of over 42bp vs 1y1y (Exhibit 2). This is a concerning trend. Besides the limited buying interest given the rising spread volatility, we see five potential reasons for this widening:

1) **Stops on long positions**. While sentiment towards OATs has been bearish since the summer, we noted that positioning in futures space had turned neutral last week, and there were recent addition of longs to fade the widening at the start of the week, which were stopped out according to Eurex flows data. Furthermore, anecdotal evidence from our conversations suggested long positioning by leveraged accounts in 3-5y ASW, with limited 10y shorts vs Bunds compared to late August.

2) **Negative convexity flows** – related to CTD switch and/or change in directionality. On Monday, as yields increased again and the 10y OAT yield rose above 4.7%, the CTD (cheapest-to-deliver) bond for the OAT future switched from FRTR 3.5% 11/35, to FRTR 3.7% 11/36, a longer duration bond that cheapened to a greater extent in

the sell-off (Exhibit 3). Investors with long OAT future positions and duration hedges faced the increased duration of their OAT future with the new CTD and some may have reduced their OAT future positions / increase their duration hedge (eg in RX, the Bund future). In addition, the loss in directionality of the spread since Tuesday could have been a negative convexity event on its own, as the long OATs hedged with short duration positions would have seen the hedge move the wrong way in the OAT sell-off, driving a reduction in those positions, alongside other stops, and thereby a widening in the OAT-Bund spread.

3) **Month-end/quarter-end portfolio shifts**. This could be the case for accounts that continue to reduce their exposure to France due to the past rating downgrades (eg central banks) or for other more specific reasons (eg Dutch pension funds transitioning to defined contributions and diversifying their bond holdings). In addition, the speed in the OAT-Bund widening could have resulted in an exceptional flight to quality move, supportive of Bunds (and swap spreads).

4) **Increased supply concerns**, with the auction today and the 2027 funding announcement earlier this week (Tuesday after close). The AFT announced it plans to sell €340bn of bonds next year, net of buybacks. This represents a €30bn increase relative to 2026 with little reliance on bills to cover the increased funding needs (net bill supply of €2bn). We assume bills may be used however to cover any potential additional needs, should the final budget target for 2027 end up above 5ppt, or should slippages occur next year.

5) **Incremental noise on the political front**. Headlines on the domestic front continue to paint a picture of political and budgetary uncertainty, High pump prices and select budget proposals raise risks of protests that could feed investor concerns that long term deficit correction and reforms remain elusive. At the same time, challenges are emerging for several parties as the election campaign ramps up.

Exhibit 3: Historical CTD Basket for OAT Future
Rise in 10y French bond yields saw CTD switch to longer duration bond (2036) on 28-Sep.

Trade Date	Futures Price	CTD Fwd Yield	Fut Fwd Risk	Conv Factor	Cheapest Issue	CTD Fwd Price	CTD Risk	Gross Basis	Implied Repo
09/29/26	109.50	4.86	8.80	0.831189	FRTR 3.7 11/25/36	91.02	7.46	0.33	2.06
09/28/26	109.78	4.83	8.83	0.831189	FRTR 3.7 11/25/36	91.25	7.49	0.34	2.06
09/25/26	110.15	4.69	8.19	0.830509	FRTR 3 ½ 11/25/35	91.48	6.98	0.32	1.97
09/24/26	110.18	4.68	8.19	0.830509	FRTR 3 ½ 11/25/35	91.51	6.98	0.28	2.19

Source: Bloomberg, BofA Global Research.

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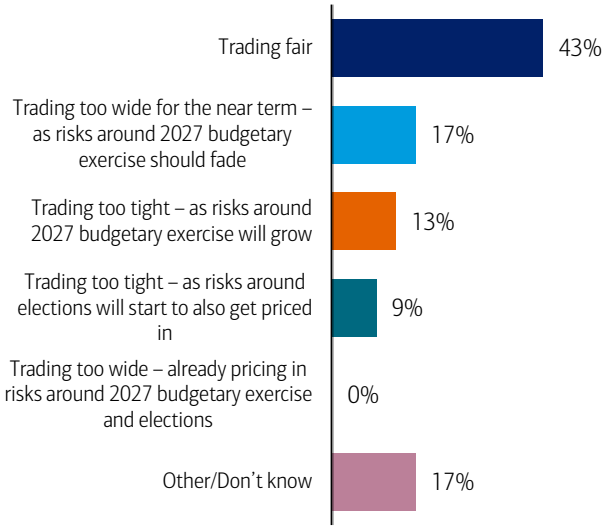
Where do OAT spreads go? A question of context

As shown in Exhibit 4 taken from our Sep FX and Rates Sentiment Survey, a net 5ppt only of investors believed 10y OAT-Bunds were trading too tight when at 85bp. Early September, some investors were contemplating buying at a target of 100bp, which then became a target of 120bp. What this price action suggests is that levels may not be relevant at this stage, but rather it is the context that matters: technical flows, speed of the move, incremental news, and risks ahead.

While pressure from the first three factors flagged above can diminish now that we are past the negative convexity point and past month-end, whether OAT-Bunds can unwind part of this week's cheapening vs rates will now depend on the incremental news we get from here. For buyers to return, some stabilization needs to take place first, with therefore also the necessity for front-end rates / Bund yields to not sell-off.

Exhibit 5 flags some incremental news / developments that can support spreads. The next section discusses the backstops that we had previously flagged and that could help slow if not cap the widening. We are now only c.15bp below the highs at which the spread traded in 2011 (bar the one day jump to 190bp in Nov-11). Getting to c.150bp very quickly would likely trigger several of these backstops.

Exhibit 4: At 85bp, I believe 10y OAT-Bund spreads are currently:
Answers to the question asked in our Sep FX and Rates Sentiment Survey



Source: BofA Global Research. September FX and Rates Sentiment Survey.

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Exhibit 5: Markets will be attentive to all incremental news
List of potential incremental news relevant for OAT-Bunds near term

	Potential positive dvlpts -> helping tightening to 100bp	Potential negative dvlpts -> driving a widening to 150bp
Budget	Clear indication that parties will be open to passing the 2027 budget with some corrective measures	Strong pushback from different parties on the 2027 budget bills
Macro	Lower commodity prices. Improvement in the data (for example with recovery from the weather impact in Q2)	Deterioration in the data (for eg on lower consumer confidence / tighter financial conditions)
Politics	Signs that the centre are consolidating	The centre parties see reduced support in the polls
Ratings	No downgrade from Moody's	Moody's downgrade. Other agencies signalling potential additional moves
Flows	Clear signs of real money buying	New short positions being built
ECB	Continued dovish shift. Some signals that it would be willing to deploy tools should widening persist	Renewed hawkish tone on higher energy prices

Source: BofA Global Research

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Backstops: from slowing the widening to capping it

In French bonds under the radar, 17 Sep , we highlighted five potential backstops that could help limit the current widening in OAT-Bund spreads:

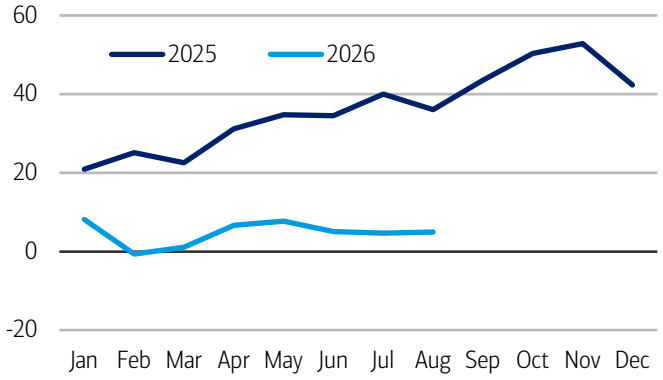
(1) a reduction in the weighted average maturity (WAM) of issuance;
(2) increased political willingness to pass the budget swiftly given risks for OAT yields.
(3) domestic banks and life insurance buying;
(4) portfolio shifts from peripheral markets into OATs on risk-off contagion; and
(5) ECB action, initially via communication shift before any more forceful intervention.

Of these, the first two are largely within France's own control. The AFT is already reducing the WAM of issuance, which, all else equal, helps alleviate duration pressure. We saw this in the September long-end OAT auction as well as this week's, both did not include 25y+ bonds. Even before accounting for today's auction, we calculate that the WAM of OAT issuance has declined by 0.7y so far this year relative to the same period last year (vs an average reduction of 0.3y for the overall EGB market –see Exhibit 4 in note: EGB supply, positioning & flows). That leaves political willingness to facilitate a smooth and timely budget process as a key short-term variable.

Domestic buying remains a potential support, although the timing and scope of that support is uncertain:

- As of August, French banks had not increased their exposure to either OATs or other EGBs since April (Exhibit 6, Exhibit 7). Their share of EGBs as percentage of total assets is low relative to EA average (at 3.2% vs 5.4% avg). The concentration of domestic bonds in their EGB portfolio is higher than the EA average (74% vs 59% avg), but there has been some diversification this year, as seen from the larger net buying in non-domestic bonds YTD in Exhibit 7 vs Exhibit 6. This could be partially reversed if the OAT spread pick vs other EGBs is seen as advantageous enough.
- French life insurers have recorded positive inflows during the first half of 2026. However, as front-end yields rise and the curve flattens, inflows may begin to moderate. Even so, insurers could continue to provide support by rebalancing existing EGB holdings towards OATs, following some diversification in prior years.

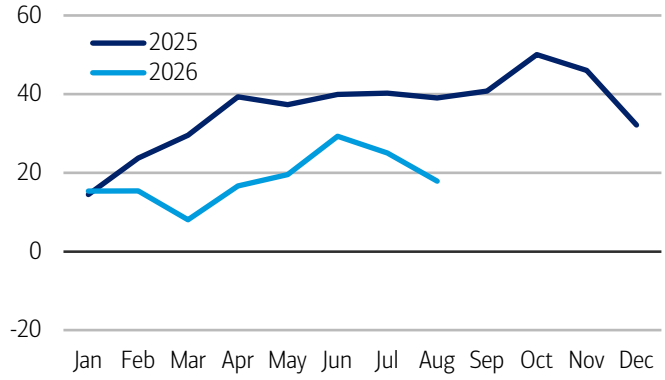
Exhibit 6: FR banks have bought less than €5bn of domestic bonds YTD
Cumulative net buying of domestic bonds by French MFIs in 2025 and YTD



Source: ECB, BofA Global Research

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Exhibit 7: FR banks have not increased foreign bonds vs April
Cumulative net buying of non-domestic bonds by FR MFIs in 2025 and YTD



Source: ECB, BofA Global Research

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We have not yet seen clear evidence of portfolio reallocation from peripheral markets into OATs. Futures positioning suggests that some investors may be looking to fade the recent widening (EGB supply, pos. & flows, 25 Sep), but we would be cautious about extrapolating this trend. As spreads have continued to widen, positions established in recent days may already be under pressure or have been stopped out. Moreover, investors seeking duration exposure may increasingly look elsewhere, given that the OAT-Bund spread has widened despite the broader rally in rates markets this week. We see the potential of a re-balancing being greater once the 2027 budget in course to be voted, and we have passed the Moody's rating review on October 23. At that point, the focus could also turn to the growing political and macro uncertainty in Italy.

Finally, ECB action remains a possibility and would likely provide one of the more effective alternatives. President Lagarde and other ECB officials have increasingly pushed back against the strong relationship between front-end rates and energy prices and has also highlighted more clearly this week the economic impact of elevated yields.

However, the fact that OAT-Bund spreads have continued to widen despite the Bund rally suggests that the effectiveness of communication alone may be limited. By contrast, any discussion around the potential use of the Transmission Protection Instrument (TPI) of new instruments would likely have a much stronger market impact. That said, past episodes of ECB action suggest that the central bank's tolerance for market stress is often considerably higher than that of investors. It will likely be dependent on the speed of the widening and extent of contagion to other EGBs.

ECB backstop: going through the options

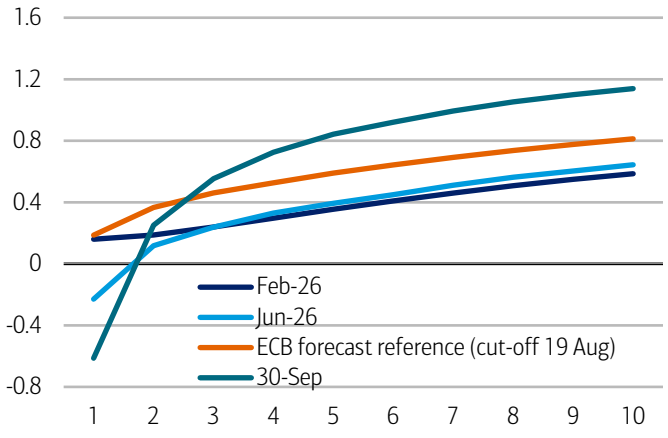
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It's tough out there

Beyond the sharp widening in OAT spreads, real rates are at painful levels for an economy that has trend growth not far from 1% and the neutral rate is, optimistically, not far from 0% (Exhibit 8, Exhibit 9).

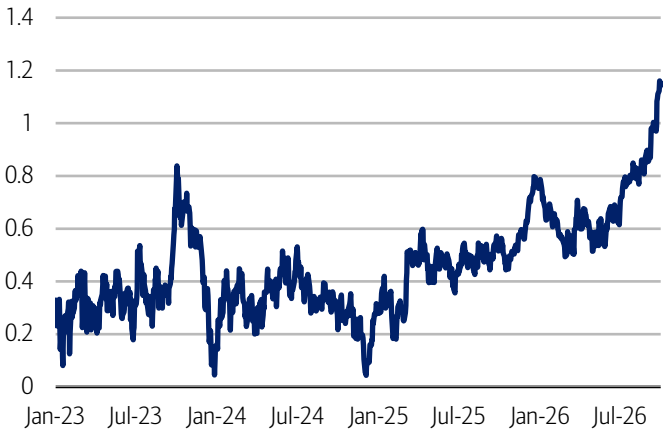
Exhibit 8: Long term real yields are >30bp above what the ECB embedded in their last forecast update
EUR OIS spot real yield curve (%)



Source: BofA Global Research, Bloomberg

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Exhibit 9: 10 real yields in the Euro area are now >30bp above 2023 peak level
EUR OIS spot 10y real yield (%)



Source: BofA Global Research, Bloomberg BofA GLOBAL RESEARCH

All these moves have triggered plenty of questions on when and what the ECB can do.

The short answer is that it depends on the type of shock it wants to deal with. In the short term, the tighter financial conditions become, the less the ECB needs to do. And, eventually, if the tightening worsens or persists, it might need to ease policy rates. Use of the balance sheet would require much higher levels of yields/spreads and/or disorderly moves.

Verbal intervention is the first line of response. And we have started seeing that since the September ECB meeting, with the most explicit reaction being ECB President Lagarde's speech at the European Parliament. QT fine-tuning is unlikely, we think, at least in the very short run. Conditions are not there to create new longer-term refinancing operations, while asset purchases under a new structural securities portfolio to deal with excess reserves also appear unlikely.

But disorderly moves could bring back the option of TPI for spreads (we work on the assumption that all countries would eventually qualify, as of today) or new tools with a TPI spirit to deal with disorderly moves in the long-end.

Verbal intervention on this front would also be the first line of action if/when we get there. A simple recognition by the ECB that some of the moves do not seem to be fully justified by fundamentals, together with a reminder of the tools available, or the room for new tools, could go some way towards addressing them.

It's getting real, and we are getting some pushback – expect more

The move higher in short-term and policy rates is becoming a significant headwind to the economy. According to ECB's chief economist Philip Lane, revisions to market-based expectations of short-term rates and 10-year government bond yields between the cut-

off dates for the December 2025 and September 2026 staff projections would reduce cumulative growth in 2026-28 by 60-80bp. They would also reduce inflation by around 30bp. If we add the extra increase in short- and long-term yields since the cut-off date for the September 2026 forecast exercise (19 of August) and use similar elasticities to Lane, the additional impact could be around half the size of the one discussed above.

Not surprisingly, at the European Parliament this week, ECB President Lagarde told us that "since our last meeting long-term interest rates have risen notably, which will slow growth and reduce pass-through by more than projected in our September exercise". This was accompanied by the comment that "we view a measured response as appropriate to keep inflation in check". That follows her comments made a few days earlier, and repeated at the European Parliament that "rates do not move in lockstep with the price of energy".

In other words, verbal intervention should be the first line of response from the ECB. It is already being deployed, and not only by Lagarde,. It should continue for as long as the markets are overtightening financial conditions. This type of pushback is unlikely to become much more explicit than what we have seen so far. At the end of the day, the fear is that too much guidance could be contradicted by unexpected shocks that push the ECB in the opposite direction. But if short- and long-term yields were to persist at current levels all the way to the December ECB meeting, we would expect incremental pushback that would end up being reflected in a much more dovish ECB forecasts than those back in September.

Can the balance sheet play a role? Yes, but not yet

Many argue the first natural step for the ECB would be to slow the pace of quantitative tightening (QT) or to stop it altogether, with the aim of countering the rise in long-term yields and/or the behaviour of spreads.

We remain sceptical, at least for now. First, as argued above, when faced with an orderly tightening in financial conditions, the ECB's line of action is communication about then policy path, without overly explicit guidance and then, if warranted by fundamentals, action on policy rates.

Only after all these options are deployed could QT fine-tuning become a more realistic possibility. But even then, the bar for action is high. The ECB has flagged its desire to keep the unwinding of the APP and PEPP portfolios at a measured and predictable pace, for as long as they don't interfere with policy transmission.

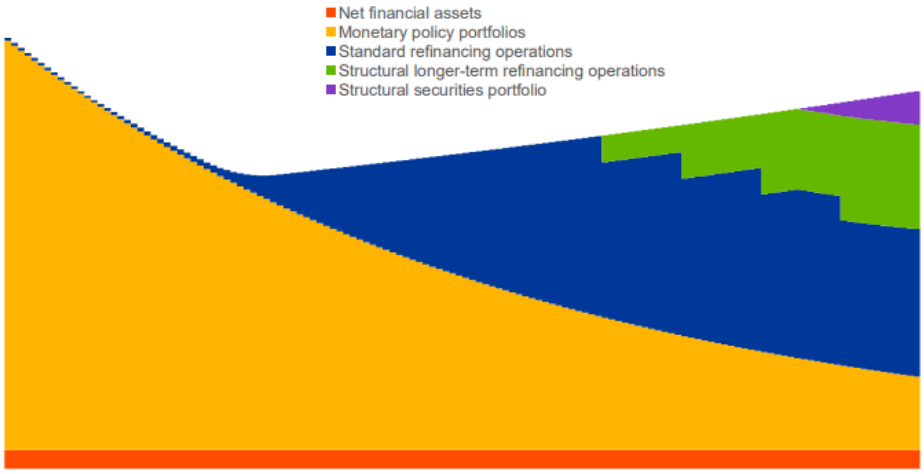
The ECB has also indicated that when the unwinding creates too tight liquidity in the system, it will introduce new tools, including new longer-term refinancing operations and asset purchases under a new structural securities portfolio. But the conditions do not seem to be in place for those new tools. Eventually (see details below), they could be designed flexibly enough to deal with some of the current issues, but with limitations, given their objective is to ensure enough reserves are in the system.

Structural securities portfolio

We see ECB purchases of EGBs through a structural securities portfolio as unlikely in the near term. Under the envisaged sequencing, a persistent and broad-based increase in standard refinancing operation take-up would first be required. Longer-term refinancing operations would then likely come before the introduction of an actual structural securities portfolio.

Longer-term refinancing operations are expected to begin only once the Eurosystem's balance sheet starts to grow durably again, which we assume will not happen this year, and perhaps not in 2027 either. Indeed, for this to take place, banks would need to borrow every month an incremental c. €40bn of additional cash from the ECB. Currently, the cumulative total amount borrowed in all ECB operations is even less than €40bn as market rates, even for unsecured funding, remain more advantageous than ECB rates.

Exhibit 10: Stylised evolution of the Eurosystem liquidity supply in the new operational framework, produced by the ECB
Structural portfolios introduced after a take-up in structural lending and standard refinancing



Source: ECB

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Disorderly moves

Things could change if market moves were more disorderly. But this is where we enter a grey area. First, because the move would need to be judged as disorderly by the ECB, and that's where likely the bar is significantly higher than what market participants would consider disorderly.

The reason the Transmission Protection Instrument (TPI) was created was exactly that, to deal with those disorderly moves unjustified by fundamentals. "In particular, as the Governing Council continues normalising monetary policy, the TPI will ensure that the monetary policy stance is transmitted smoothly across all euro area countries. The singleness of the Governing Council's monetary policy is a precondition for the ECB to be able to deliver on its price stability mandate."

On our reading, it was created to make sure nothing broke when the ECB had to tighten aggressively in response to the last energy price shock. It was never used, though, and probably not even fully finalised.

What's a disorderly move? "A deterioration in financing conditions not warranted by country-specific fundamentals, to counter risks to the transmission mechanism to the extent necessary."

How would that be decided? "A comprehensive assessment of market and transmission indicators, an evaluation of the eligibility criteria and a judgement that the activation of purchases under the TPI is proportionate to the achievement of the ECB's primary objective."

Eligibility criteria are also a grey area, we would add, based on "a cumulative list of criteria to assess whether the jurisdictions in which the Eurosystem may conduct purchases under the TPI pursue sound and sustainable fiscal and macroeconomic policies."

That raises questions on whether some countries today would qualify or not for TPI, particularly France. We work on the assumption that, as long as countries are considered to be taking corrective action on their imbalances by the European Commission, they would end up qualifying for the tool.

If the fundamental backdrop was not there, Outright Monetary Transactions would be the remaining option, also unexplored so far, conditional on a reform programme.

What if the move is disorderly in long-term rates?

We would not rule out new tools if we saw disorderly moves in long-end rates. The idea of TPI is one of fast unlimited temporary interventions that deal with the multiplicity of equilibria (spreads moving away from fundamentals to a bad equilibrium). A similar tool with the same spirit (or a small redesign of TPI) could be created to deal with long-term rates, not just spreads.

More verbal interventions

We would not rule out the possibility that, if/when the ECB starts to worry about the disorderly aspect of some of the moves, verbal intervention could come well before any tools are properly considered. We think a mere recognition that some of these moves do not seem to be fully justified by fundamentals, together with a reminder of the tools available, or the room for new tools, could go some way towards addressing them.

Economics: more macro concerns

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France: we are worried about sentiment in particular

We updated our Euro area forecasts last week to embed new energy price forecasts. And as with every update so far this year, downgrades to France were bigger than elsewhere. We cut growth to 0.3% for this year (-10bp) and to 0.6% for 2027 (-20bp). We continue to pencil in a recovery to potential growth in 2028 at 1.1%, as the energy crisis should be behind us, economic policy uncertainty from the election reduced, and ECB rates lower by then.

Downside risks to the growth outlook keep rising, though. The sudden weakening in real growth dynamics into 2026 paired with the renewed energy shock, the particularly swift pass-through of the summer rise in gas prices to consumers, and the tightening in financial conditions that was extra-stark in France vs Euro area peers, makes for a very uncomfortable mix.

At this stage, we haven't moved our budget balance forecasts much. We take on board the government's communication that this year's budget is more likely to come in at 5.4% (+10bp vs our forecasts). We continue to view a 2027 budget deal as likely, eventually. But we struggle to believe the planned deficit reduction to 5.0% proposed by the prime minister will pass without some dilution. Some form of compromise is likely to lead to sufficient corrective action to agree on an unchanged deficit plan at 5.4%. We think cyclical slippage and higher funding costs are likely to push the end-result closer to 5.8% (+20bp vs our previous forecast). Economic policy choices post-election are an additional risk, which we don't embed at this stage.

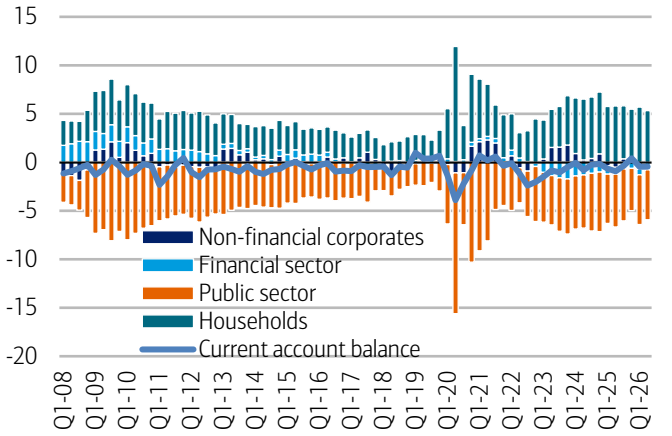
What's the upside, what's the downside potential?

We struggle to see meaningful scope for economic upward surprises here. Yes, if extreme heat since mid-May has lowered GDP growth by c 10bp in 2Q26 (and likely also in 3Q26), some relief from more normal temperatures could follow. And yes, if gas prices do not go to EUR 100 per MWh in the winter (as our colleagues now expect), the purchasing power squeeze could be much less than the c 40bp higher headline inflation via gas prices alone by January (vs September). That gas price pass-through is much less pronounced elsewhere in the Euro area (the impact of Brent on pump price differs relatively less). But, of course, lower energy prices would help.

From a macro-funding perspective, the better news is that France does not have a very large external imbalance. The current account deficit has stayed close to or below 1% of GDP, and 0.5% of GDP on 1H26 average despite high energy costs. Yes, public deficits are large, but other institutional sectors (households, corporates, financials) run a combined surplus that is almost offsetting the sovereign's deficit (at least in terms of flows – Exhibit 11).

But the risk balance is tilted to the downside with arguably large tails. The capacity to buffer recessionary dynamics with fiscal policy support is very low in France at this stage. And it may actually be the corporate sector, where cracks could appear first.Our Euro area corporate health updates have regularly shown faster profit disinflation in France than elsewhere into 2026. And our corporate health measure (including activity, financing, leverage, debt service, profitability) has shown a steady degradation in French corporate health, more so than elsewhere. (Exhibit 12). We are working our way through broad-based vulnerability measures and details on all these elements will follow soon.

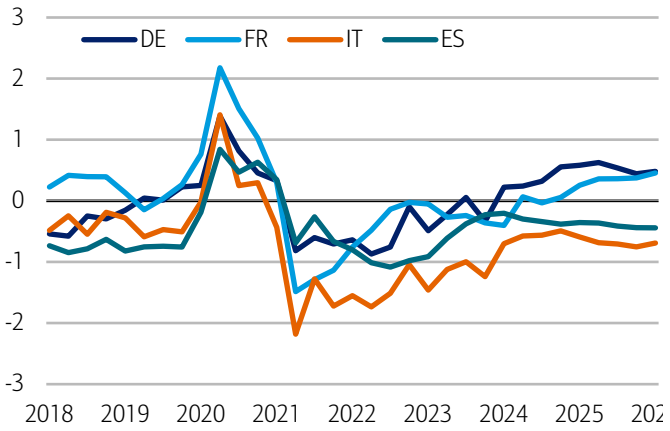
Exhibit 11: France's current account deficit is small – household savings rates are a big counterpart to the public sector deficit
Net lending by institutional sector and current account balance (% of GDP)



Source: BofA Global Research, INSEE

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Exhibit 12: The corporate base in France and Germany remains particularly vulnerable
Non-financial corporates' vulnerability measure for the main Euro area countries



Source: Eurostat, ECB, Bloomberg, BofA Global Research. Note: We build a vulnerability measure along five dimensions: debt-service capacity (interest coverage ratio, corporate savings over operating surplus, revenue generation), leverage (debt-to-equity, net debt-to-EBIT and gross debt-to-income ratios), activity (growth in gross value added), profitability (operating-surplus-to-value-added ratio), and financing/rollover (overall cost of debt financing and credit impulse). The series are standardised in the period 2000-19. Sub-components are computed as the arithmetic average of the respective underlying z-scores of the individual series. Headline composite vulnerability is obtained by equally weighting the composite z-scores of the five sub-categories. Positive/negative values indicate higher/lower vulnerabilities

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Back to our previous point: the idiosyncratic element may be limited for now

We reiterate our view that the big change in France this year is the cycle. A government deficit trajectory of >5% without meaningful corrective action has become the base case since the 2024 snap election. The 2027 election cycle has been in the pipeline since the 2022 election. Economic policy could change meaningfully after, and at some stage, the market may start to price that, but we are not sure that is currently the case. The French debt ratio also remains lower than Italy's. The Debt Sustainability Monitor of the European Commission shows that it might take 10y for that gap to close, at unchanged primary budget balance trajectories. That matters for debt service, too, where France's current starting point is 2% of GDP vs 3% in Italy.

So we continue to be surprised by the singular focus on OATs in client discussions, when the bond move is broad-based and the idiosyncratic element in the OAT move may be relatively lower than the narrative. It is surely a particularly simplified way of looking at things. The OAT-BTP spread has widened by "only" a little more than 20bp since July.

Meanwhile, the OAT-Bund spread has broadened by c 50bp and absolute 10y OAT yields have increased by 100bp. Part of the OAT move may be due to technicals. That is not irrelevant, but our point here is that the bulk of the move remains due to exogenous factors to France.

That is not to say that market sentiment is irrelevant, it is. The singular focus on France can raise risks of non-linear developments without any specific reason at all. The capacity to fix that with fiscal restraint may be limited at this stage – any 2027 budget plan is subject to revision post-election. The ECB could have backstops, then. For broad-based tightening in financial conditions across the block, short term rates are the tool (incl verbal interventions and guidance on the depo rate path). The balance sheet (ie TPI) comes into play for disorderly moves in speed and/or magnitude on spreads. But as we have flagged before, the pain threshold for the central bank to step in tends to be higher than that of the markets.

FX: OATs don't matter until they do

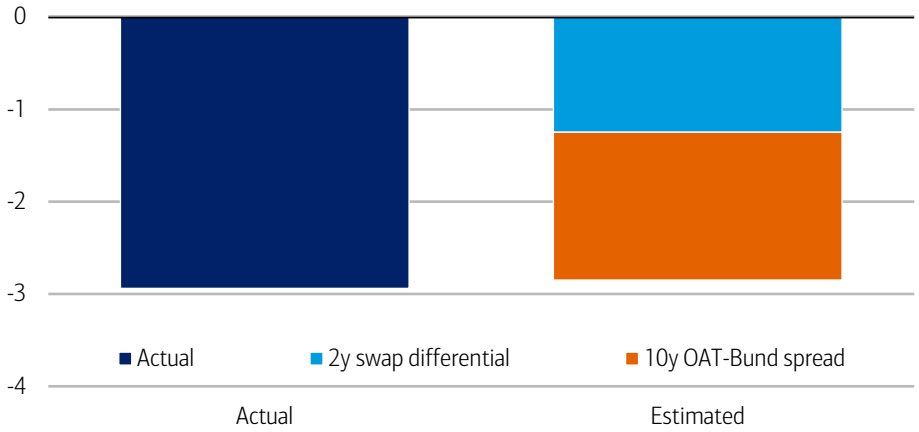
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OAT-Bund spreads typically don't matter for EUR/USD until they do: betas are not statistically significant unless isolating to >1 standard deviation moves.

The recent widening has been well beyond this threshold: Exhibit 13 suggests this has contributed significantly to EUR/USD weakness in September, with the rest likely attributable to 2y rate differentials. The proximity of event risk (France budget and ratings decision), cyclical weakness and the high absolute level of OAT yields present a challenging backdrop – every further 10bp spread widening would be associated with 0.4% depreciation in EUR/USD, uncannily close to what we observed this week (0.8% sell-off in EUR/USD).

Exhibit 13: Actual move in EUR/USD (since September 3) vs. estimated move based on 2y differential and OAT-Bund spread move
EUR/USD sell off driven by multiple factors but largest estimated contribution from OAT-Bund spread



Source: BofA Global Research, Bloomberg. Estimated move based on betas to 2y swap differentials and large (> 1 z-score) moves in 10y OAT-Bund spreads. See France risks for EUR 08 September 2026

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Rates Technical Strategy

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OAT 10Y Yield

Ascending triangle points to a fifth-wave advance, with room to extend

OAT 10Y yield spent 4Q23 to 1Q26 forming an *ascending triangle* pattern, consolidating the advance from the 2020 low primarily through time rather than depth. In March 2026, alongside many developed sovereign yields, it broke higher. This confirmed an uptrend continuation and start of a major advance, or wave (5) up from the 2020 lows.

The initial target from the pattern was 4.80%, which has been reached, but smaller patterns do not indicate it is over. The pattern also implies an extended target of 5.54%. Given the secular global bond market selloff underway, we highlight secular Fibonacci retracement levels at 5.14% and 6.46%. Also, the January 2000 high at 5.79%.

RSI is approaching extreme levels last reached in June 2022. A 1–2-month volatile decline in yield followed and then the uptrend resumed. Our secular and cyclical view on developed market rates remains bearish, or higher yields. As a result, we would view a significant decline in yield as an opportunity to re-establish bearish duration exposure.

Support: 4.17%, 4.00%, 3.86%, 3.60%, rising 50m SMA now at 3.24%.
Resistance: 5%, 5.14%, 5.54%, 5.79%, 6.00%, 6.46%, 8.09%

Exhibit 14: OAT 10Y yield is in its fifth wave up from the 2020 low with Fibonacci extensions measuring higher to about 5.54%.
OAT 10Y yield monthly candles, 50m SMA, 200m SMA, RSI, MACD, Fibonacci levels



Source: BofA Global Research, Bloomberg

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Peripheral spreads rising

OATs-Bunds near 2012 peak level; Are BTP-Bund and Spain-Bund vulnerable?

Exhibit 15: As the OATs-Bund spreads launches higher, we show higher highs and higher lows in the BTP-Bund and Spain-Bund spread. If the drivers persist or become more contagious, we may next see BTP-Bund widen to its trend line at about 185bp and Spain-Bund to its trend line at about 100bp.
European peripheral yield spreads to bunds



Source: BofA Global Research, Bloomberg

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